

single asset trading case. Moreover, in portfolio trading with mixed price trends, our within-episode risk control mechanism performs robustly by monitoring the entire portfolio’s value fluctuations. The second study focuses on the over-episode risk control mechanism, demonstrating its critical role in updating the trading manager agent’s beliefs to provide a more comprehensive understanding of current trading conditions, as articulated in Table 5. The markedly improved CRs and SRs in both decision-making scenarios underscore the effectiveness of using CVRF to update investment beliefs episodically, guiding the agent towards more profitable investment strategies. Additionally, FINCON demonstrates significant learning gains, achieving these results after only four training episodes—substantially fewer than what is typically required by traditional RL algorithmic trading agents. More visualizations and analysis are provided in the Appendix A.7.

Task	Assets	Market Trend	Models	CR %↑	SR↑	MDD %↓
Single Stock	GOOG	General Bullish ↗	w/ CVaR	25.077	1.052	17.530
			w/o CVaR	-1.461	-0.006	27.079
	NIO	General Bearish ↘	w/ CVaR	17.461	0.335	40.647
			w/o CVaR	-52.887	-1.002	70.243
Portfolio Management	(TSLA, MSFT, PFE)	Mixed	w/ CVaR	113.836	3.269	16.163
			w/o CVaR	14.699	1.142	17.511

Table 4: Key metrics FINCON with vs. without implementing **CVaR for within-episode risk control**. The performance of FINCON with the implementation of CVaR won a leading performance in both single-asset trading and portfolio management tasks.

Task	Assets	Market Trend	Models	CR %↑	SR↑	MDD %↓
Single Stock	GOOG	General Bullish ↗	w/ belief	25.077	1.052	17.530
			w/o belief	-11.944	-0.496	29.309
	NIO	General Bearish ↘	w/ belief	17.461	0.335	40.647
			w/o belief	8.197	0.156	55.688
Portfolio Management	(TSLA, MSFT, PFE)	Mixed	w/ belief	113.836	3.269	16.163
			w/o belief	28.432	1.181	27.535

Table 5: Key metrics FINCON with vs. without implementing **belief updates for over-episode risk control**. The performance of FINCON with the implementation of CVRF won a leading performance in both single-asset trading and portfolio management tasks.

5 Conclusion

In this paper, we present FINCON, a novel LLM-based multi-agent framework for financial decision-making tasks, including single stock trading and portfolio management. Central to FINCON is the Synthesized Manager-Analyst hierarchical communication structure and a dual-level risk control component. This communication method channels financial data from multiple sources to specialized analyst agents, who distill it into key investment insights. The manager agent then synthesizes these insights for decision-making. Our experimental evaluations demonstrate the efficacy of our risk control mechanism in mitigating investment risks and enhancing trading performance. Additionally, the streamlined communication structure reduces overhead. The dual-level risk control component introduces a novel approach to defining agent personas, enabling dynamic updates of risk and market beliefs within agent communication. A valuable future research direction would be to scale FINCON’s framework to manage large-sized portfolios comprising tens of assets, while maintaining the impressive decision-making quality demonstrated with smaller portfolios. Given the LLM’s input length constraint, a critical challenge lies in striking an optimal balance between information conciseness through agent distillation and potential performance deterioration when extending the current context window. Addressing this will be essential for ensuring quality-assured outcomes.

References

- [1] Harry Markowitz. Portfolio selection. *The Journal of Finance*, 7(1):77–91, 1952.
- [2] Xuan-Hong Dang, Syed Yousaf Shah, and Petros Zerfos. "the squawk bot": Joint learning of time series and text data modalities for automated financial information filtering. *arXiv preprint arXiv:1912.10858*, 2019.
- [3] John L Maginn, Donald L Tuttle, Dennis W McLeavey, and Jerald E Pinto. *Managing investment portfolios: a dynamic process*, volume 3. John Wiley & Sons, 2007.
- [4] Roy Radner. The organization of decentralized information processing. *Econometrica: Journal of the Econometric Society*, pages 1109–1146, 1993.
- [5] George A Miller. The magical number seven, plus or minus two: Some limits on our capacity for processing information. *Psychological review*, 63(2):81, 1956.
- [6] Rundong Wang, Hongxin Wei, Bo An, Zhouyan Feng, and Jun Yao. Commission fee is not enough: A hierarchical reinforced framework for portfolio management. In *Proceedings of the AAAI Conference on Artificial Intelligence*, volume 35, pages 626–633, 2021.
- [7] Weiguang Han, Boyi Zhang, Qianqian Xie, Min Peng, Yanzhao Lai, and Jimin Huang. Select and trade: Towards unified pair trading with hierarchical reinforcement learning. In *Proceedings of the 29th ACM SIGKDD Conference on Knowledge Discovery and Data Mining*, pages 4123–4134, 2023.
- [8] Molei Qin, Shuo Sun, Wentao Zhang, Haochong Xia, Xinrun Wang, and Bo An. Earnhft: Efficient hierarchical reinforcement learning for high frequency trading. In *Proceedings of the AAAI Conference on Artificial Intelligence*, volume 38, pages 14669–14676, 2024.
- [9] Jie Huang and Kevin Chen-Chuan Chang. Towards reasoning in large language models: A survey. *arXiv preprint arXiv:2212.10403*, 2022.
- [10] Mingyu Jin, Qinkai Yu, Haiyan Zhao, Wenye Hua, Yanda Meng, Yongfeng Zhang, Mengnan Du, et al. The impact of reasoning step length on large language models. *arXiv preprint arXiv:2401.04925*, 2024.
- [11] Tianle Cai, Xuezhi Wang, Tengyu Ma, Xinyun Chen, and Denny Zhou. Large language models as tool makers. *arXiv preprint arXiv:2305.17126*, 2023.
- [12] Jingqing Ruan, Yihong Chen, Bin Zhang, Zhiwei Xu, Tianpeng Bao, Hangyu Mao, Ziyue Li, Xingyu Zeng, Rui Zhao, et al. Tptu: Task planning and tool usage of large language model-based ai agents. In *NeurIPS 2023 Foundation Models for Decision Making Workshop*, 2023.
- [13] Chan Hee Song, Jiaman Wu, Clayton Washington, Brian M Sadler, Wei-Lun Chao, and Yu Su. Llm-planner: Few-shot grounded planning for embodied agents with large language models. In *Proceedings of the IEEE/CVF International Conference on Computer Vision*, pages 2998–3009, 2023.
- [14] Bhargavi Paranjape, Scott Lundberg, Sameer Singh, Hannaneh Hajishirzi, Luke Zettlemoyer, and Marco Tulio Ribeiro. Art: Automatic multi-step reasoning and tool-use for large language models. *arXiv preprint arXiv:2303.09014*, 2023.
- [15] Qianqian Xie, Weiguang Han, Xiao Zhang, Yanzhao Lai, Min Peng, Alejandro Lopez-Lira, and Jimin Huang. Pixiu: A comprehensive benchmark, instruction dataset and large language model for finance. In A. Oh, T. Naumann, A. Globerson, K. Saenko, M. Hardt, and S. Levine, editors, *Advances in Neural Information Processing Systems*, volume 36, pages 33469–33484. Curran Associates, Inc., 2023.
- [16] Xiao Zhang, Ruoyu Xiang, Chenhan Yuan, Duanyu Feng, Weiguang Han, Alejandro Lopez-Lira, Xiao-Yang Liu, Meikang Qiu, Sophia Ananiadou, Min Peng, Jimin Huang, and Qianqian Xie. Dólares or dollars? unraveling the bilingual prowess of financial llms between spanish and english. In *Proceedings of the 30th ACM SIGKDD Conference on Knowledge Discovery and Data Mining*, KDD '24, page 6236–6246, New York, NY, USA, 2024. Association for Computing Machinery.
- [17] Qianqian Xie, Weiguang Han, Zhengyu Chen, Ruoyu Xiang, Xiao Zhang, Yueru He, Mengxi Xiao, Dong Li, Yongfu Dai, Duanyu Feng, et al. The finben: An holistic financial benchmark for large language models. *arXiv preprint arXiv:2402.12659*, 2024.

- [18] Gang Hu, Ke Qin, Chenhan Yuan, Min Peng, Alejandro Lopez-Lira, Benyou Wang, Sophia Ananiadou, Wanlong Yu, Jimin Huang, and Qianqian Xie. No language is an island: Unifying chinese and english in financial large language models, instruction data, and benchmarks. *arXiv preprint arXiv:2403.06249*, 2024.
- [19] Yuzhe Yang, Yifei Zhang, Yan Hu, Yilin Guo, Ruoli Gan, Yueru He, Mingcong Lei, Xiao Zhang, Haining Wang, Qianqian Xie, et al. Ucfef: A user-centric financial expertise benchmark for large language models. *arXiv preprint arXiv:2410.14059*, 2024.
- [20] Joon Sung Park, Joseph C O’Brien, Carrie J Cai, Meredith Ringel Morris, Percy Liang, and Michael S Bernstein. Generative agents: Interactive simulacra of human behavior. *arXiv preprint arXiv:2304.03442*, 2023.
- [21] Qingyun Wu, Gagan Bansal, Jieyu Zhang, Yiran Wu, Shaokun Zhang, Erkang Zhu, Beibin Li, Li Jiang, Xiaoyun Zhang, and Chi Wang. Autogen: Enabling next-gen llm applications via multi-agent conversation framework. *arXiv preprint arXiv:2308.08155*, 2023.
- [22] Shuofei Qiao, Ningyu Zhang, Runnan Fang, Yujie Luo, Wangchunshu Zhou, Yuchen Eleanor Jiang, Chengfei Lv, and Huajun Chen. Autoact: Automatic agent learning from scratch via self-planning. *arXiv preprint arXiv:2401.05268*, 2024.
- [23] Sirui Hong, Xiawu Zheng, Jonathan Chen, Yuheng Cheng, Jinlin Wang, Ceyao Zhang, Zili Wang, Steven Ka Shing Yau, Zijuan Lin, Liyang Zhou, et al. Metagpt: Meta programming for multi-agent collaborative framework. *arXiv preprint arXiv:2308.00352*, 2023.
- [24] Xudong Guo, Kaixuan Huang, Jiale Liu, Wenhui Fan, Natalia Vélez, Qingyun Wu, Huazheng Wang, Thomas L Griffiths, and Mengdi Wang. Embodied llm agents learn to cooperate in organized teams. *arXiv preprint arXiv:2403.12482*, 2024.
- [25] Junkai Li, Siyu Wang, Meng Zhang, Weitao Li, Yunghwei Lai, Xinhui Kang, Weizhi Ma, and Yang Liu. Agent hospital: A simulacrum of hospital with evolvable medical agents. *arXiv preprint arXiv:2405.02957*, 2024.
- [26] Weize Chen, Yusheng Su, Jingwei Zuo, Cheng Yang, Chenfei Yuan, Chi-Min Chan, Heyang Yu, Yaxi Lu, Yi-Hsin Hung, Chen Qian, et al. Agentverse: Facilitating multi-agent collaboration and exploring emergent behaviors. In *The Twelfth International Conference on Learning Representations*, 2023.
- [27] Reid Pryzant, Dan Iter, Jerry Li, Yin Tat Lee, Chenguang Zhu, and Michael Zeng. Automatic prompt optimization with "gradient descent" and beam search. *arXiv preprint arXiv:2305.03495*, 2023.
- [28] Xinyu Tang, Xiaolei Wang, Wayne Xin Zhao, Siyuan Lu, Yaliang Li, and Ji-Rong Wen. Unleashing the potential of large language models as prompt optimizers: An analogical analysis with gradient-based model optimizers. *arXiv preprint arXiv:2402.17564*, 2024.
- [29] Weiran Yao, Shelby Heinecke, Juan Carlos Niebles, Zhiwei Liu, Yihao Feng, Le Xue, Rithesh Murthy, Zeyuan Chen, Jianguo Zhang, Devansh Arpit, et al. Retroformer: Retrospective large language agents with policy gradient optimization. *arXiv preprint arXiv:2308.02151*, 2023.
- [30] Noah Shinn, Federico Cassano, Ashwin Gopinath, Karthik Narasimhan, and Shunyu Yao. Reflexion: Language agents with verbal reinforcement learning. *Advances in Neural Information Processing Systems*, 36, 2024.
- [31] Hongyang Yang, Xiao-Yang Liu, and Christina Dan Wang. Fingpt: Open-source financial large language models. *arXiv preprint arXiv:2306.06031*, 2023.
- [32] Yangyang Yu, Haohang Li, Zhi Chen, Yuechen Jiang, Yang Li, Denghui Zhang, Rong Liu, Jordan W Suchow, and Khaldoun Khashanah. Finmem: A performance-enhanced llm trading agent with layered memory and character design. *arXiv preprint arXiv:2311.13743*, 2023.
- [33] Wentao Zhang, Lingxuan Zhao, Haochong Xia, Shuo Sun, Jiaze Sun, Molei Qin, Xinyi Li, Yuqing Zhao, Yilei Zhao, Xinyu Cai, et al. Finagent: A multimodal foundation agent for financial trading: Tool-augmented, diversified, and generalist. *arXiv preprint arXiv:2402.18485*, 2024.
- [34] Freddy Delbaen and Sara Biagini. *Coherent risk measures*. Springer, 2000.
- [35] Frank J Fabozzi, Sergio M Focardi, and Petter N Kolm. *Quantitative equity investing: Techniques and strategies*. John Wiley & Sons, 2010.